



THIRD WEEK TOPIC

MARKET STRUCTURE

AND

FORMS OF MARKET

■ **MARKET STRUCTURE**

A MARKET REFERS TO THE INTERACTION BETWEEN BUYERS AND SELLERS WHO ENGAGE IN THE EXCHANGE OF GOODS, SERVICES, OR RESOURCES. IN A MARKET, BUYERS SEEK TO ACQUIRE GOODS OR SERVICES AT A PRICE THEY ARE WILLING TO PAY, WHILE SELLERS SEEK TO SELL THEIR GOODS OR SERVICES AT A PRICE THEY ARE WILLING TO ACCEPT. MARKETS CAN TAKE MANY FORMS, SUCH AS PHYSICAL MARKETPLACES, ONLINE MARKETPLACES, OR FINANCIAL MARKETS, AND THEY CAN OPERATE AT VARIOUS LEVELS, FROM LOCAL TO GLOBAL. THE FORCES OF SUPPLY AND DEMAND PLAY A SIGNIFICANT ROLE IN DETERMINING THE PRICES OF GOODS AND SERVICES IN A MARKET.

FORMS OF MARKET STRUCTURE

1 PERFECT COMPETITION

2 MONOPOLISTIC COMPETITION

3 OLIGOPOLY

4 MONOPOL



PERFECT COMPETITION MARKET

- ***A LARGE NUMBER OF BUYERS AND SELLERS***
- ***HOMOGENEOUS PRODUCTS***
- ***PERFECT INFORMATION***
- ***LOW BARRIERS TO ENTRY AND EXIT***
- ***NO SINGLE BUYER OR SELLER HAS SIGNIFICANT CONTROL OVER THE MARKET PRICE***
- ***EXAMPLES: AGRICULTURAL PRODUCTS, STOCK MARKETS, FOREIGN EXCHANGE MARKETS.***

➤ **MONOPOLISTIC COMPETITION MARKET**

- **A LARGE NUMBER OF BUYERS AND SELLERS**
- **DIFFERENTIATED PRODUCTS**
- **FIRMS CAN DIFFERENTIATE THEIR PRODUCTS THROUGH ADVERTISING, PACKAGING, AND BRANDING**
- **EXAMPLES: FAST FOOD RESTAURANTS, CLOTHING RETAILERS, TOOTHPASTE BRANDS.**



OLIGOPOLY MARKET

- ***A SMALL NUMBER OF LARGE FIRMS DOMINATE THE MARKET***
- ***HIGH BARRIERS TO ENTRY***
- ***FIRMS TEND TO ENGAGE IN STRATEGIC BEHAVIOUR SUCH AS PRICE FIXING AND COLLUSION***
- ***THE HIGH DEGREE OF INTERDEPENDENCE BETWEEN FIRMS***
- ***EXAMPLES: AUTOMOBILE MANUFACTURING, TELECOMMUNICATIONS, AIRLINES.***

MONOPOLY MARKET

- **ONLY ONE SELLER OR PRODUCER OF A PARTICULAR GOOD OR SERVICE**
- **EXTREMELY BARRIERS TO ENTRY**
- **MONOPOLIST HAS COMPLETE CONTROL OVER THE MARKET PRICE**
- **MONOPOLIES CAN ARISE DUE TO GOVERNMENT REGULATION, PATENTS, OR ECONOMIES OF SCALE.**
- **EXAMPLES: WATER AND ELECTRICITY UTILITIES, CERTAIN PHARMACEUTICAL COMPANIES, INTERNET SERVICE PROVIDERS IN SOME REGIONS.**